

Diploma in International Financial Reporting

Friday 10 June 2016



Time allowed

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

REF
010

Think Ahead

ACCA

The Association of
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Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha's investments include subsidiaries, Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 31 March 2016 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Notes 3 and 4)	360,000	210,000	190,000
Cost of sales (Notes 1–3)	(240,000)	(110,000)	(100,000)
Gross profit	120,000	100,000	90,000
Distribution costs	(20,000)	(16,000)	(15,000)
Administrative expenses	(30,000)	(19,000)	(18,000)
Investment income (Notes 5 and 6)	19,800	Nil	Nil
Finance costs (Note 7)	(12,000)	(17,000)	(13,000)
Profit before tax	77,800	48,000	44,000
Income tax expense	(15,000)	(12,000)	(11,000)
Profit for the year	62,800	36,000	33,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Gains/(losses) on financial assets designated at fair value through other comprehensive income (Note 5)	Nil	Nil	Nil
Total comprehensive income	62,800	36,000	33,000

Summarised statements of changes in equity

Balance on 1 April 2015	200,000	150,000	130,000
Comprehensive income for the year	62,800	36,000	33,000
Dividends paid on 31 December 2015	(30,000)	(12,000)	(11,000)
Balance on 31 March 2016	232,800	174,000	152,000

Note 1 – Alpha's investment in Beta

On 1 April 2004, Alpha acquired 80% of the equity shares of Beta and gained control of Beta. Alpha paid \$64 million in cash for these shares.

On 1 April 2004, the net assets of Beta had a fair value of \$70 million. None of the assets and liabilities of Beta which existed on 1 April 2004 were still assets or liabilities of Beta on 31 March 2015.

Alpha measured the non-controlling interest in Beta using the proportion of net assets method. The resulting goodwill on acquisition of Beta was correctly recognised in the consolidated financial statements of Alpha. No impairment of goodwill on acquisition of Beta has been necessary up to and including 31 March 2015.

On 31 March 2016, the annual impairment review of the goodwill on acquisition of Beta indicated that the recoverable amount of the total net assets of Beta (including the goodwill) at that date was \$180 million. Beta is regarded as a single cash generating unit for impairment purposes. Any impairment of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 October 2015, Alpha acquired 60% of the equity shares in Gamma and gained control of Gamma. Gamma had 50 million equity shares in issue on 1 October 2015 and has not issued any new shares since that date. The acquisition was financed as follows:

- Alpha issued two new shares to the former shareholders of Gamma for every three shares Alpha acquired in Gamma. On 1 October 2015, the fair value of an equity share in Alpha was \$2.80 and the fair value of an equity share in Gamma was \$3.70.

- Alpha agreed to pay a total of \$24.2 million to the former shareholders of Gamma on 30 September 2017. Alpha's incremental borrowing rate at 1 October 2015 was 10% per annum.
- Alpha agreed to pay a further amount to the former shareholders of Gamma on 31 December 2019 if the cumulative profits of Gamma for the four-year period from 1 October 2015 to 30 September 2019 exceed \$150 million. On 1 October 2015, the fair value of this obligation was measured at \$40 million. On 31 March 2016, this fair value was remeasured at \$42 million.

Alpha has resolved to use the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Gamma. The fair value of an equity share in Gamma on 1 October 2015 can be used for this purpose. No impairment of the goodwill on acquisition of Gamma is necessary in the consolidated financial statements of Alpha for the year ended 31 March 2016.

On 1 October 2015, the fair values of the net assets of Gamma were the same as their carrying amounts in the financial statements of Gamma with the exception of:

- Property – whose fair value exceeded the carrying amount by \$25 million (\$10 million of this excess relates to land). The estimated remaining useful life of the buildings element of the property at 1 October 2015 was 20 years.
- Plant and equipment – whose fair value exceeded the carrying amount by \$8 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 October 2015 was four years.

All depreciation of property, plant and equipment is charged to cost of sales. You can assume that the profit of Gamma for the year ended 31 March 2016 accrued evenly over the year.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha earns a profit margin of 10% on these supplies. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta	Gamma
	\$'000	\$'000
Sales of the component (for Gamma all sales since 1 October 2015)	15,000	8,000
Inventory of component at 31 March 2015 (at cost to Beta/Gamma)	2,000	Nil
Inventory of component at 31 March 2016 (at cost to Beta/Gamma)	3,000	2,800

Note 4 – Revenue of Alpha

On 1 October 2015, Alpha sold a large machine to a customer for a total price of \$51.2 million and credited \$51.2 million to revenue. As part of the sales agreement, Alpha agreed to provide annual servicing of the machine for four years from 1 October 2015 for no additional payment. The normal selling price of this without any annual servicing would have been \$60 million and Alpha would normally charge the customer an annual fee of \$1 million to service the machine. You should ignore the time value of money in respect of this transaction.

Note 5 – Alpha's other investment

Apart from its investments in Beta and Gamma, Alpha has one other investment – in entity X. Alpha purchased this equity investment on 1 July 2015 for \$40 million and designated the investment as fair value through other comprehensive income. In order to protect against a prolonged decline in the fair value of the investment in entity X, Alpha purchased a put option to sell this investment. The cost of the option was \$6 million and the option was regarded as an effective hedge against a prolonged decline in the fair value of the investment in entity X. On 31 March 2016, the fair value of the equity investment in entity X was \$37 million and the fair value of the put option was \$8.7 million. Apart from recognising the investment in entity X and the put option at cost, Alpha has made no other entries in its draft financial statements. Alpha wishes to use hedge accounting whenever permitted by International Financial Reporting Standards.

Note 6 – Investment income

All of the investment income of Alpha has been correctly recognised in the individual financial statements of Alpha.

Note 7 – Bond issue

On 1 April 2015, Alpha issued a convertible zero-coupon bond to a single institutional investor. The bond was issued for total proceeds of \$250 million and will be redeemed or converted into equity shares on 31 March 2020. If the

investor chooses to redeem the bond on 31 March 2020, the investor will receive \$362.32million. The incremental borrowing rate of Alpha on 1 April 2015 is 10% per annum. The present value of \$1 received in five years at a discount rate of 10% per annum is 62.1 cents.

Required:

- (a) Using the information in notes 1 and 2, compute the goodwill arising on the acquisitions of Beta at 1 April 2004 and Gamma at 1 October 2015. (8 marks)
- (b) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 31 March 2016. You do not need to consider the deferred tax effects of any adjustments you make. (25 marks)
- (c) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 31 March 2016, including a column for the non-controlling interest. (7 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. Each year the financial statements are authorised for issue on 20 May. The following events are relevant to the year ended 31 March 2016:

Event (a)

On 1 April 2014, Delta granted 2,000 employees 1,000 share options each. The options are due to vest on 31 March 2017 provided the relevant employees remain in employment over the three-year period ending on 31 March 2017.

On 1 April 2014, the directors of Delta estimated that 1,800 employees would qualify for the options on 31 March 2017. This estimate was amended to 1,850 employees on 31 March 2015, and further amended to 1,840 employees on 31 March 2016.

On 1 April 2014, the fair value of an option was \$1.20. The fair value increased to \$1.30 by 31 March 2015 but, due to challenging trading conditions, the fair value declined after 31 March 2015. On 30 September 2015, when the fair value of an option was 90 cents, the directors repriced the options and this caused the fair value to increase to \$1.05. Trading conditions improved in the second half of the year and by 31 March 2016 the fair value of an option was \$1.25. Any additional costs that have occurred as a result of the repricing of the options on 30 September 2015 should be spread over the remaining vesting period from 30 September 2015 to 31 March 2017. (9 marks)

Event (b)

On 1 August 2015, Delta supplied some products it had manufactured to customer C. The products were faulty and on 1 October 2015 C commenced legal action against Delta claiming damages in respect of losses due to the supply of the faulty products. Upon investigating the matter, Delta discovered that the products were faulty due to defective raw materials supplied to Delta by supplier S. Therefore on 1 December 2015, Delta commenced legal action against S claiming damages in respect of the supply of defective materials. Since that date Delta has consistently estimated that it is probable that both of the legal actions, the action of C against Delta and the action of Delta against S, will succeed.

On 1 October 2015, Delta estimated that the damages Delta would have to pay to C would be \$5 million. This estimate was updated to \$5.2 million as at 31 March 2016 and \$5.25 million as at 15 May 2016. This case was eventually settled on 1 June 2016, when Delta was required to pay damages of \$5.3 million to C.

On 1 December 2015, Delta estimated that they would receive damages of \$3.5 million from S. This estimate was updated to \$3.6 million as at 31 March 2016 and \$3.7 million as at 15 May 2016. This case was eventually settled on 1 June 2016, when S was required to pay damages of \$3.75 million to Delta. (6 marks)

Event (c)

On 1 June 2015, the spouse of one of the directors of Delta purchased a controlling interest in entity X, a long-standing customer of Delta. Sales of products from Delta to entity X in the two-month period from 1 April 2015 to 31 May 2015 totalled \$800,000. Following the share purchase by the spouse of one of the directors of Delta on 1 June 2015, Delta began to supply the products at a discount of 20% to their normal selling price and allow entity X three months' credit (previously entity X was only allowed one month's credit, Delta's normal credit policy). Sales of products from Delta to entity X in the ten-month period from 1 June 2015 to 31 March 2016 totalled \$6 million. On 31 March 2016, the trade receivables of Delta included \$1.8 million in respect of amounts owing by entity X. (5 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2016.

Note: The mark allocation is shown against each of the three events above. You should assume that all amounts described here are material. When discussing event (a), you are not required to consider disclosure requirements.

(20 marks)

- 3 (a)** A deferred tax liability is the amount of income tax payable in respect of taxable temporary differences. A deferred tax asset is the amount of income tax recoverable in future periods in respect of deductible temporary differences. A temporary difference is the difference between the carrying amount of an asset or liability in the statement of financial position and its tax base.

Required:

- (i) **Define the tax base of an asset as outlined in IAS 12 – *Income Taxes*. Use your definition to compute the tax base of the following assets:**
- **A machine was purchased during the current accounting period for \$250,000. Depreciation of \$50,000 was charged in arriving at the accounting profit for the current period. A deduction of \$100,000 was given against taxable profits by the local tax authorities against the taxable profits of the current period. The remaining cost will be deductible in future periods, either as depreciation or as a deduction on disposal.**
 - **A current asset of \$60,000 relates to interest receivable. The related interest revenue will be taxed on a cash basis when it is received.** (4 marks)
- (ii) **Define the tax base of a liability as outlined in IAS 12. Use your definition to compute the tax base of the following liabilities:**
- **\$120,000 is included in trade payables. This amount relates to purchases which qualified for a tax deduction when the purchase was made.**
 - **\$40,000 is included in accrued liabilities. A tax deduction relating to this liability will be given when the liability is settled.** (4 marks)
- (b)** Epsilon prepares financial statements to 31 March each year. The rate of income tax applicable to Epsilon is 20%. The following information relates to transactions, assets and liabilities of Epsilon during the year ended 31 March 2016:
- (i) Epsilon has an investment property which it carries under the fair value model. The property originally cost \$30 million. The property had an estimated fair value of \$35 million on 31 March 2015 and \$38 million on 31 March 2016. In the tax jurisdiction in which Epsilon operates, gains on the fair value of investment properties are not subject to income tax until the properties are disposed of.
 - (ii) Epsilon has a 40% shareholding in Lambda. Epsilon purchased this shareholding for \$45 million. The shareholding gives Epsilon significant influence over Lambda but not control and therefore Epsilon accounts for its interest in Lambda using the equity method. The equity method carrying value of Epsilon's investment in Lambda was \$70 million on 31 March 2015 and \$75 million on 31 March 2016. In the tax jurisdiction in which Epsilon operates, profits recognised under the equity method are taxed if and when they are distributed as a dividend or the relevant investment is disposed of.
 - (iii) Epsilon measures its head office property using the revaluation model. The property is revalued every year on 31 March. On 31 March 2015, the carrying value of the property (after revaluation) was \$40 million and its tax base was \$22 million. During the year ended 31 March 2016, Epsilon charged depreciation in its statement of profit or loss of \$2 million and claimed a tax deduction for tax depreciation of \$1.25 million. On 31 March 2016, the property was revalued to \$45 million. In the tax jurisdiction in which Epsilon operates, revaluation of property, plant and equipment does not affect taxable income at the time of revaluation.

Required:

Assuming that there are no other temporary differences other than those indicated above, compute:

- **The deferred tax liability of Epsilon at 31 March 2016.**
- **The charge or credit to both profit or loss and other comprehensive income relating to deferred tax for the year ended 31 March 2016.**

You should include brief explanations to support your computations.

(12 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The managing director, who is not an accountant, has recently attended a business seminar at which financial reporting issues were discussed. Following the seminar, she reviewed the financial statements of Omega for the year ended 31 March 2016. Based on this review she has prepared a series of queries relating to those statements:

Query One

'One of the issues discussed at the seminar was 'impairment of financial assets'. On reviewing our financial statements I have noticed that we have two types of financial assets – Type A (those measured at amortised cost) and Type B (those measured at 'fair value through profit or loss'). It appears we carry out impairment reviews of Type A assets but not Type B assets. Please explain to me why this is the case and also please explain exactly how an impairment review of Type A assets is carried out.'

(8 marks)

Query Two

'Another issue discussed at the seminar was financial reporting by farming entities. The issue of 'biological assets' was mentioned. I don't really understand what these are or how they're recognised and measured in the financial statements. Please explain this to me.'

(5 marks)

Query Three

'During a break-out session I heard someone talking about accounting policies and accounting estimates. He said that when there's a change of these items sometimes the change is made retrospectively and sometimes it's made prospectively. Please explain the difference between an accounting policy and an accounting estimate and give me an example of each. Please also explain the difference between retrospective and prospective adjustments and how this applies to accounting policies and accounting estimates.'

(7 marks)

Required:

Provide answers to the three questions raised by the managing director. Your answers should refer to relevant provisions of International Financial Reporting Standards.

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Computation of goodwill on acquisition of Beta and Gamma

	\$'000	\$'000	Explanations (where needed)	
Beta				
Cost of investment:				
Cash paid		64,000		1/2
Non-controlling interest at the date of acquisition		14,000	20% of the net assets	1
Net assets at the date of acquisition		(70,000)		1/2
Goodwill on acquisition of Beta		<u>8,000</u>		
Gamma				
Cost of investment:				
Share exchange	56,000		50 million x 60% x 2/3 = 20 million shares issued at \$2.80	1
Deferred cash consideration	20,000		\$24.2 million/(1.10) ² – the present value of the cash payable	1
Contingent consideration	<u>40,000</u>		Measured at fair value at the date of acquisition	1
		116,000		
Non-controlling interest at the date of acquisition		<u>74,000</u>	50 million x 40% = 20 million shares at \$3.70	1
		190,000		
Net assets at the date of acquisition				
At 1 April 2015	130,000		As per Gamma's financial statements	1/2
Profits to 30 September 2015	16,500		6/12 of the profits for the year to 31 March 2016	1
Fair value uplifts	<u>33,000</u>		\$25 million + \$8 million as per note 2	1/2
		(179,500)		
Goodwill on acquisition of Gamma		<u>10,500</u>		

8

(b) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2016

	\$'000	
Revenue (W1)	639,200	3½ (W1)
Cost of sales (W3)	(381,955)	8 (W3)
Gross profit	257,245	
Distribution costs (20,000 + 16,000 + 15,000 x 6/12)	(43,500)	½
Administrative expenses (30,000 + 19,000 + 18,000 x 6/12)	(58,000)	½
Investment income (W5)	3,600	1½ (W5)
Finance costs (W6)	(61,000)	4 (W6)
Profit before tax	98,345	
Income tax expense (15,000 + 12,000 + 6/12 x 11,000)	(32,500)	½
Profit for the year	65,845	
Other comprehensive income:		
Items that will not be reclassified to profit and loss		
Losses on financial assets designated at fair value through other comprehensive income (40,000 – 37,000)	(3,000)	1
Gains on derivatives classified as effective fair value hedges (8,700 – 6,000)	2,700	1
Total comprehensive income for the year	65,545	
Profit attributable to:		
Owners of Alpha (balancing figure)	52,595	½
Non controlling interest (W9)	13,250	3 (W9)
	65,845	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	52,295	½
Non controlling interest (as above)	13,250	½
	65,545	
		25

(c) Consolidated statement of changes in equity of Alpha for the year ended 31 March 2016

	Alpha group \$'000	Non-controlling interest \$'000	Total \$'000	
At 1 April 2015 (W10/11)	263,800 (W10)	30,000 (W11)	293,800	2 (W10) + ½ (W11)
Increase due to acquisition	56,000	74,000	130,000	½ + ½
Equity element of bond issue (W12)	25,000		25,000	1 (W12)
Comprehensive income for the year	52,295	13,250	65,545	½ + ½
Dividends paid	(30,000)	(6,800) (W13)	(36,800)	½ + 1 (W13)
At 31 March 2016	367,095	110,450	477,545	
				7
				40

WORKINGS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + 6/12 x Gamma	665,000	½
Intra-group revenue (15,000 + 8,000)	(23,000)	½
Deferred service revenue (W2)	(2,800)	2½ (W2)
	639,200	3½

Marks

Working 2 – Deferred service revenue

	\$'000	
Actual price of 'package' (A)	51,200	1/2
Sum of fair values of individual components (60,000 + 4 x 1,000) (B)	64,000	1/2
A/B	80%	1/2
So 'service revenue' (4 x 1,000 x 80%)	3,200	1/2
Amount deferred (42/48)	2,800	1/2
		<u>2 1/2</u>
		⇒W1

Working 3 – Cost of sales

	\$'000	
Alpha + Beta + 6/12 x Gamma	400,000	1/2
Intra-group purchases (as W1)	(23,000)	1/2
Unrealised profit:		
Closing inventory (10% x (3,000 + 2,800))	580	1
Opening inventory (10% x 2,000)	(200)	1/2 + 1/2
Impairment of Beta goodwill (W4)	3,200	3 (W4)
Extra depreciation on fair value adjustments:		
Property ((25,000 – 10,000) x 1/20 x 6/12)	375	1
Plant and equipment (8,000 x 1/4 x 6/12)	1,000	1
	<u>381,955</u>	<u>8</u>

Working 4 – Impairment of Beta goodwill

	\$'000	
Net assets at 31 March 2016	174,000	1/2
Grossed up goodwill (8,000 x 100/80)	10,000	1/2 + 1/2
	<u>184,000</u>	
Recoverable amount	(180,000)	1/2
So gross impairment	<u>4,000</u>	1/2
Recognise group share (80%)	<u>3,200</u>	1/2
		<u>3</u>
		⇒W3

Working 5 – Investment income

	\$'000	
Alpha	19,800	1/2
Intra-group dividends eliminated:		
– Beta (80% x 12,000)	(9,600)	1/2
– Gamma (paid post-acquisition – 60% x 11,000)	(6,600)	1/2
	<u>3,600</u>	<u>1 1/2</u>

Working 6 – Finance cost

	\$'000	
Alpha + Beta + 6/12 x Gamma	35,500	1/2
Change in fair value of contingent consideration (42,000 – 40,000)	2,000	1
Finance cost on deferred consideration (W7)	1,000	1 (W7)
Finance cost on convertible bond (W8)	<u>22,500</u>	<u>1 1/2 (W8)</u>
	<u>61,000</u>	<u>4</u>

Tutorial note: It would be acceptable to show the change in fair value of the contingent consideration under a reasonable alternative expense heading, such as administrative expenses.

Working 7 – Finance cost on deferred consideration

	\$'000	
20,000 (amount included in goodwill calculation) x 10% x 6/12	<u>1,000</u>	<u>1</u>
		⇒W6

Working 8 – Finance cost on convertible bond

	\$'000	
Liability element of convertible loan (362,320 x 0.621)	225,000	1
So appropriate finance cost = 10% x 225,000	22,500	$\frac{1}{2}$
		$1\frac{1}{2}$
		⇒W6

Working 9 – Non-controlling interest in profit

	Beta \$'000	Gamma (6/12) \$'000	Total \$'000	
Profit after tax	36,000	16,500		1
Extra depreciation – Gamma (375 + 1,000 (W3))		(1,375)		$\frac{1}{2} + \frac{1}{2}$
Relevant profit	36,000	15,125		
Non-controlling interest (20%/40%)	7,200	6,050	13,250	$\frac{1}{2} + \frac{1}{2}$
				3

Working 10 – Opening equity – Alpha group

	\$'000	
Alpha	200,000	$\frac{1}{2}$
Beta: 80% x (150,000 – 70,000)	64,000	$\frac{1}{2} + \frac{1}{2}$
Opening provision for unrealised profit (W2)	(200)	$\frac{1}{2}$
	263,800	2

Working 11 – Opening non-controlling interest (in Beta)

	\$'000	
20% x 150,000	30,000	$\frac{1}{2}$

Tutorial note: An alternative computation would be:

	\$'000	
At date of acquisition (20% x 70,000)	14,000	$\frac{1}{2}$
Increase since acquisition: 20% (150,000 – 70,000)	16,000	$\frac{1}{2}$
At start of the year	30,000	1

Working 12 – Equity element of bond issue

	\$'000	
Total proceeds	250,000	$\frac{1}{2}$
Loan element (W7)	(225,000)	$\frac{1}{2}$
So equity element equals	25,000	1

Working 13 – Dividends paid to non-controlling interest

	\$'000	
Beta (12,000 x 20%)	2,400	$\frac{1}{2}$
Gamma (11,000 x 40%)	4,400	$\frac{1}{2}$
Total	6,800	1

- 2 (a) IFRS 2 – *Share based Payments* – requires that equity settled share based payments should be measured based on their **fair value** at the **grant date**, based on the **number of options expected to vest** based on estimates at the **reporting date**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
+ $\frac{1}{2}$

The cost should be spread over the **vesting period** – three years in this case.

$\frac{1}{2}$

This means that the charge to profit or loss in the year ended 31 March 2015 will be **\$740,000** (1,850 x 1,000 x \$1.20 x 1/3).

$\frac{1}{2}$

The credit entry will be to **equity**, probably to an **option reserve**.

$\frac{1}{2} + \frac{1}{2}$

Based on the **original** arrangements, the **cumulative** balance in equity on 31 March 2016 will be **\$1,472,000** (1,840 x 1,000 x \$1.20 x 2/3).

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Marks

The impact of the **repricing** on 30 September 2015 is to charge the **incremental** increase in fair value over the **remaining** vesting period on the same basis as the original charge.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Therefore the additional credit to equity in respect of the repricing will be \$92,000 ($1,840 \times 1,000 \times \{ \$1.05 - \$0.90 \} \times 6/18$).

$\frac{1}{2}$

This means the closing balance in equity will be \$1,564,000 ($\$1,472,000 + \$92,000$).

$\frac{1}{2}$

The charge to profit or loss in the year ended 31 March 2016 will be **\$824,000** ($\$1,564,000 - \$740,000$). This will be shown as an **employment expense** under **operating costs**.

$\frac{1}{2}$

9

- (b) The potential liability to pay damages to C needs to be recognised as a provision because the event giving rise to the potential liability (the supply of faulty products) arose **prior** to 31 March 2016, there is a **probable** transfer of economic benefits and a **reliable** estimate can be made of the amount of the probable transfer.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The amount recognised should be the best estimate of the amount required to settle the obligation at the reporting date. In this case, this estimate is the one made on **15 May** – just before the financial statements are authorised for issue. Therefore a provision of \$5.25 million should be recognised as a **current liability**. There should also be a **charge of \$5.25 million to profit or loss**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The potential amount receivable from S is a contingent asset as it arose from an event **prior** to the year end but **at the date the financial statements are authorised for issue**, the ultimate outcome is **uncertain**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Contingent assets are **not** recognised as assets in the statement of financial position. Their existence and estimated financial effect is **disclosed** where the future receipt of economic benefits is **probable**. This is the situation here.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

6

- (c) Delta would include the **total** revenue of \$6.8m ($\$6m + \$800,000$) from entity X receivable in the year ended 31 March 2016 within its revenue and show \$1.8m within trade receivables at 31 March 2016.

1

The spouse of a director of Delta would be regarded as a **related party** of Delta because he/she is a **close family member** of one of the **key management personnel** of Delta.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

From 1 June 2015, entity X would also be regarded as a related party of Delta because from that date entity X is an entity **controlled by another related party**.

$\frac{1}{2} + \frac{1}{2}$

Because entity X is a related party with whom Delta has transactions, then Delta should disclose:

- The nature of the related party relationship.
- The revenue of \$6m from entity X since 1 June 2015.
- The outstanding balance of \$1.8m at 31 March 2016. In the current circumstances it may well be necessary for Delta to also disclose the favourable terms under which the transactions are carried out.

$1\frac{1}{2}$

5

20

- 3 (a) (i) The tax base of an asset is the amount which will be deductible for tax purposes against any taxable economic benefits which will flow to the entity when it recovers the carrying amount of the asset. If those economic benefits will not be taxable, the tax base of the asset is equal to its carrying amount.

2

Where an asset is purchased for \$250,000 and has already received a tax deduction of \$100,000, then the future tax deduction which is available will be \$150,000 ($\$250,000 - \$100,000$). The tax base of the asset is \$150,000.

1

The interest receivable will generate a taxable economic benefit of \$60,000 when it is received in the following period. There is no related tax deduction against this taxable benefit so the tax base of this asset is nil.

$\frac{1}{2}$

4

Note: Exact wordings NOT required for marks.

- (ii) The tax base of a liability is its carrying amount, less any amount which will be deductible for tax purposes in respect of that liability in future periods. In the case of revenue which is received in advance, the tax base of the resulting liability is its carrying amount, less any amount of the revenue which will not be taxable in future periods.

2

For a trade payable which relates to a purchase which has already been fully deducted for tax purposes, there will be no further deduction when the payable is settled. Therefore in this case the tax base of the liability is \$120,000.

1

For an accrual of \$40,000 which relates to an expense which will qualify for a tax deduction only when the liability is settled, the tax base is nil (\$40,000 – \$40,000).

1

4

Note: Exact wordings NOT required for marks.

(b) Deferred tax liability at 31 March 2016

Component	Explanation/working	Amount \$'000	
Investment property	Carrying value is \$38 million. Tax base is \$30 million. Taxable temporary difference is \$8 million.	1,600	1½
Investment in Lambda	Carrying value is \$75 million. Tax base is \$45 million. Taxable temporary difference is \$30 million.	6,000	1½
Head office property	Carrying value is \$45 million. Tax base is \$20.75 million (\$22 million – \$1.25 million).	4,850	2
		12,450	

Deferred tax charge/(credit) to profit or loss for the year ended 31 March 2016

Component	Explanation/working	Amount \$'000	
Investment property	Opening deferred tax liability is \$1 million (20% x {\$35 million – \$30 million}). Fair value changes are recognised in profit or loss. Tax charge is the difference between the closing and opening liability.	600	1½
Investment in Lambda	Opening deferred tax liability is \$5 million (20% x {\$70 million – \$45 million}). Share of profits under the equity method is recognised in profit or loss. Tax charge is the difference between the closing and opening liability.	1,000	1½
Head office property	See working below	(150)	2½
		1,450	

Deferred tax charge/(credit) to other comprehensive income for the year ended 31 March 2016

Component	Explanation/working	Amount \$'000	
Head office property	See working below	1,400	1½

12

20

Working for deferred tax on property revaluation

The deferred tax liability at 31 March 2015 is \$3.6 million (20% {\$40 million – \$22 million}).

At 31 March 2016, **prior** to revaluation, the carrying amount of the property is \$38 million and its tax base is \$20.75 million (\$22 million – \$1.25 million). The deferred tax liability at this point is \$3,450,000 (20% x {\$38 million – \$20.75 million}).

The reduction in this liability is \$150,000 (\$3.6 million – \$3,450,000). This would be credited to income tax expense in arriving at profit or loss.

Following revaluation the carrying value becomes \$45 million and the tax base stays the same. So the new deferred tax liability is \$4,850,000 (20% x (\$45 million – \$20.75 million)).

The increase in the deferred tax liability of \$1,400,000 (\$4,850,000 – \$3,450,000) is debited to other comprehensive income.

	Marks
4 Query One	
A financial asset is impaired when its carrying amount cannot be reasonably expected to be recovered through future generation of income or sale proceeds.	1
(Note: Exact words NOT needed here, just the sense of the point.)	
IFRS 9 – <i>Financial Instruments</i> – classifies financial assets into three types. One of these types is ‘fair value through profit and loss’. Where financial assets are measured on this basis, any impairment of the asset is automatically reflected in the measurement basis so no further action is required.	1
As far as other financial assets are concerned, the general rule is that we should recognise a loss allowance for ‘expected credit losses’. The loss allowance should be recognised in profit or loss and deducted from the carrying amount of the financial asset in the statement of financial position.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
A credit loss is the difference between the cash flows we are contractually entitled to receive in respect of a financial asset and the cash flows which are expected based on current circumstances.	1
Unless the credit risk attaching to the financial asset has increased significantly since initial recognition, the loss allowance should be based on expected credit losses in the next 12 months.	1
Where the credit risk has increased significantly since initial recognition, the loss allowance should be based on lifetime expected credit losses.	1
As far as trade receivables and (by choice) lease receivables are concerned, as a simplifying measure IFRS 9 allows the loss allowance to always be measured based on the lifetime expected credit losses.	1
	8
Query Two	
A biological asset is defined in IAS 41 – <i>Agriculture</i> – as a living plant or animal.	1
The majority of non-biological assets of an entity have an initial acquisition cost which can be computed with sufficient reliability to be used as its initial carrying value. For biological assets (e.g. a new born calf) this is often not the case.	1
(Note: Exact words NOT needed here, just the sense of the point.)	
For the vast majority of biological assets their initial measurement should be at its fair value less costs to sell . Gains or losses arising from such initial measurement should be recognised in profit or loss .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
As the biological asset transforms and its fair value less costs to sell changes , the carrying amount of the asset should be updated with changes being recognised in profit or loss .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	5
Query Three	
IAS 8 – <i>Accounting Policies, Changes in Accounting Estimates and Errors</i> – defines an accounting policy as ‘the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements’.	1½
(Note: Exact words NOT needed here, just the sense of the point.)	
An example of an accounting policy would be the decision to apply the cost model or the fair value model when measuring investment properties.	1
(Note: ANY reasonable example accepted.)	
When an entity changes an accounting policy, the change is applied retrospectively . This means that the comparative figures are based on the new policy (rather than last year’s actual figures). The opening balance of retained earnings is restated in the statement of changes in equity .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Accounting estimates are made in order to implement accounting policies. An example of an accounting estimate would be (consistent with the above given example) the fair value of an investment property at the reporting date (where the fair value model was being applied).	1½
(Note: ANY reasonable example accepted.)	
Changes in accounting estimates are made prospectively . This means applying the new estimates in future financial statement preparation , without amending any previously published amounts.	$\frac{1}{2}$
(Note: Exact words NOT needed here, just the sense of the point.)	$\frac{1}{2}$
	7
	20